price of the exchange is mostly determined by the demand and supply position of the foreign currency and the ability to keep currency prices stable and orderly depends upon the reserves central banks hold to balance the demand and supply of foreign exchange.

Currency speculators can launch a successful run on the currency of a country if the central bank does not have enough power or ability to keep the wolves under control. Most of the currency crises the world has seen since the 1960s—Chile, Mexico, South-east Asia, Russia—took place under a vulnerable foreign exchange position.

Adequate foreign exchange reserves act as insurance or guarantee against any adventure or misadventure by currency manipulators.

India was short of foreign exchange reserves in much of the twentieth century. This forced the first major devaluation of the rupee in 1966 and was primarily responsible for the 1991 crisis. The perception of vulnerability in 1998, 2013 and 2018 also led to similar attempts but did not succeed as India not only had adequate reserves but bolstered them by issuing bonds/deposits, such as India Development Bonds, Millennium Bonds and India Resurgent Bonds.

Insurance protects but over-insurance is an unnecessary cost. If an asset valued at $1 billion is insured for $5 billion, it does not offer protection beyond $1 billion. The premium paid for insurance beyond $1 billion is simply a waste.

RBI Earns a Paltry Return on its Investment

RBI earned a surplus of Rs 1.50 lakh crore (including profits from sale of investments) in 2019–20 on an asset base of Rs 53.35 lakh crore, giving a return of 2.8 per cent. In the previous year, the return was higher at 3.42 per cent (Rs 1.40 lakh crore over the asset base of Rs 41.03 lakh crore, thanks to very large income on account of sale of investments yielding large capital gains). In the previous three years, the rate of return was only 2.49 per cent,